

HE Green Paper: response to question 16

Cite as: Martin Paul Eve, "HE Green Paper: response to question 16", *eve.gd: Martin Paul Eve*, December 06, 2015, <https://doi.org/10.59348/8amjz-66a40>.

This post is part of an [ongoing series](#) where I intend to develop my full *personal* (not institutional) response to the HE Green Paper. Comments are welcome to refine this.

The Green Paper asks in Question 16:

Do you agree with the proposed immediate actions intended to speed up entry? Please give reasons for your answer.

To address each of the measures in turn:

1. “Allowing designation applications from new providers throughout the year, hence meaning that timing of the HER would no longer prevent an AP from accessing a specific ‘window’”. It is unclear to me how having to meet a designated window, which occurs twice per year, is a substantial barrier to market entrance. In fact, the requirement to be able to plan to apply at a specific time seems to be a desirable pre-requisite that shows a capability to work to deadlines and to plan financially. Extending this to a rolling window or a larger number of opportunities per year will also amplify central costs.
2. “Introducing a probationary designation period, during which the validating partner plays a more hands on role to ensure quality, and with in-year monitoring and quality assurance”. This is a good idea but comes with additional costs.

3. “Allowing providers to apply for HER after having applied for course designation, so that the processes run in parallel”. This is a bad idea. The track record requirement is important to ensure high quality and there is insufficient risk management in the planned acceleration of this process.
4. On financial sustainability it is suggested that “One option would be to reduce the three year track record to two years, but this would allow for a very limited view of sustainability over time, and would give considerably less confidence. This might be more acceptable if accompanied by some form of guarantee of student protection as a condition of designation, both financial and in terms of how students would complete their course”. It would be a very bad idea to reduce the period of financial track record to two years, as the Paper acknowledges. Even the proposed guarantee is not a particularly sound idea, since students who had qualifications from a defunct institution would be at a substantial disadvantage. It would be far better to keep the rigorous financial audit requirements in the interests of students and employers. Indeed, in a situation that we must be extremely careful to avoid replicating in the UK, the USA provides a good example of what happens when financial deregulation is enacted. In 2015, [556 colleges and universities in the USA were put on a federal financial “watch list”](#) for reasons of accreditation, liabilities, and late financial statements. Nearly half of the institutions listed are for-profit schools, indicating that there is a greater risk in this area than with public institutions.
5. On multi-year designations for Specific Course Designations, I think the proposed removals of safeguards would be disastrous. The Green Paper acknowledges that “the annual re-designation process is thorough and in-depth” and stresses that it is only interested in “high-quality providers”. To re-iterate points made in response to other questions: if a provider is not able to pass a “thorough and in-depth” assessment, then it is not “high quality”. To pejoratively re-brand these safeguards as “burdensome” is problematic: it is right that those without a track record should prove themselves. Wishing away such hurdles as anti-competitive will merely result in a further batch of scandals.

6. Furthermore, again on multi-year designation, the claimed “disadvantages” are uneven. “They cannot plan ahead with any degree of certainty, which holds back investment”. The proposed TEF, however, plans to introduce such uncertainty for traditional institutions. “It means that they cannot advertise their courses as eligible to receive student support until much later in the year compared to traditional higher education providers, making it harder to recruit the best students”. This demonstrates a misunderstanding of the prestige economy at work. It is not that the “best students” would suddenly flock from Oxbridge to alternative providers if student support were available. It is, rather, that such safeguards are necessary before access to public money is granted via the student support system. However, I do agree that moving the annual re-designation process to an earlier point in the year may be beneficial here. “Monetary and time costs are imposed on all APs on an annual basis – this does not happen for other providers”. Again, the proposed TEF asks existing institutions to take on the costs of presenting evidence, so in the future proposed exercise, this statement is untrue. It is also, again, incumbent on new entrants to prove themselves.
7. With respect to number controls: the government has previously been burnt badly on this front. The 100% proposed increase for small providers and the annual 20%-30% rise for other providers is extremely fast. I appreciate that government must operate on short-term political cycles, but considering that it takes up to 15 years in total to become a doctor in the UK (5 years for a degree, 2 years for a post-graduate foundation course, and then 3 to 8 years in specialist training), the longer-term view is necessary here. The rush to accelerate market entrance here carries long-term risks for students, employers and society.